A PRACTICAL WAY TO SORT AI RISK BEFORE YOU MEASURE IT

Four Faces of AI Risk™

"AI risk" is not one risk. It is four. Nothing useful happens in an assessment until you clarify which one you mean.

NO ONE ACTS AGAINST US



1 · STRATEGY

Innovate with AI

We bet wrong.



2 · EXECUTION

Build and run AI responsibly

We botched it.

SOMEONE ACTS DELIBERATELY



3 · SUBVERSION

Prevent abuse of our AI

They hijacked ours.



4 · ATTACK

Defend against their AI

They attacked with theirs.

v1.0 · November 2026 · Open for comment · CC BY 4.0

THE PROBLEM

Why sort AI risk before you measure it

Every risk program is being asked to assess AI risk, and the first obstacle is the term itself. One leader means adopting generative AI too quickly, without reasonable safeguards. Another means falling behind peers by adopting too slowly, or investing in places that never produce a return. The security team means attackers using AI to chain exploits at machine speed. All of these are valid concerns, and they are not the same risk.

Several well-known framings help organize the topic, and each serves its own purpose well, whether that is organizing a security program, prioritizing actions, setting a cyber strategy, cataloging research, or supervising an industry.

Scoping a risk scenario is a different task. It starts from an earlier question: what would have to be true for this loss to happen? Categories that only describe where a risk lands cannot answer that, because one landing place can hold several causes, each with its own frequency, controls, and data.

> **What none of them has is a place for getting the AI strategy itself wrong.**

Moving too slowly, betting on hype, or spending with no way to tell what it returned has no home in any of these framings, yet it is often the first thing executives raise when they ask about AI risk. Someone else's AI being used against us gets the opposite treatment. Every framing that covers it gives it a category of its own, which is a strong sign that it deserves to stand alone.

Four Faces was designed to fill that gap with a small set of categories, drawn so that each one becomes a risk scenario you can measure.

HOW OTHERS SORT AI RISK, AND WHAT EACH FRAMING IS BUILT FOR

NIST Cyber AI Profile	Organizing a security program's AI work. Secure, Defend, Thwart.
Canadian Cyber Centre	Prioritizing practical security actions across three pillars.
Deloitte	Framing a cyber strategy around where gen AI threats land.
MIT AI Risk Repository	Cataloging AI risks for research. Its causal taxonomy helped inspire sorting by cause.
MAS (Singapore)	Supervising financial institutions' AI use, sorted by enterprise risk type.
Four Faces	**Scoping risk scenarios across functions, sorted by cause.**

© 2026 Evan Wheeler · Four Faces of AI Risk™ · CC BY 4.0

THE DIFFERENCES MATTER

"AI risk" is four risks, with different causes, owners, controls, and losses. The differences matter.

A way to sort any AI risk by its cause, before you try to measure it. Ask five executives what worries them about AI and you hear four kinds of concern mixed together. Each needs a **different owner, different controls, and different data**. Treating them as a single risk obscures those differences, leaving executives with a description of what might go wrong but little clarity on what to do about it.

Drawing the wrong lines can be just as damaging. Categories built around technologies, departments, or where the harm lands still leave different causes inside one scenario, so the estimate blends frequencies that do not belong together and the controls have no clear owner.

The faces are drawn along three lines: whose AI it is, whether someone acted deliberately, and whether the failure was in the choice or in the running. Each face also lands its own mix of losses.

Four Faces does two jobs. For executives, it is a mental model: four separate conversations in place of one blended worry about "AI risk." For risk analysts, it is the first scoping decision in a scenario they can measure. The lines between the faces were drawn for the second job as much as the first.

> **The face is the first question to ask of any AI risk scenario: why it happened. It sets the cause, and through the cause, the frequency driver.**



Three are about our own AI: **get it right**. One is about theirs: **be ready**. Looked at another way, the first two are things we do to ourselves, and the last two are things someone does to us, either with our AI or with theirs.

© 2026 Evan Wheeler · Four Faces of AI Risk™ · CC BY 4.0

THE DIFFERENCES MATTER

The four faces

OUR AI: GET IT RIGHT

THEIR AI: BE READY

ACCIDENT

INTENT

NO ONE ACTS AGAINST US



1 · STRATEGY

Innovate with AI

Are we making the right bets?

We move too slowly, too timidly, or fast with no strategy behind the bets. The AI may work exactly as intended; the choices about where, how fast, and how much were wrong.

WHAT IT LOOKS LIKE

- Losing ground to faster competitors
- Bets mistimed or driven by hype
- Returns that never arrive
- Scarce talent and skills
- Cost and dependence that creep up

THE LOSS

Value: stranded spend, forgone value, competitive erosion, structural cost increases

We bet wrong.



2 · EXECUTION

Build and run AI responsibly

Is it well built and well run?

AI we chose to adopt is badly designed, built, or used. No one acted against us; the cause is ours.

WHAT IT LOOKS LIKE

- Wrong or inconsistent answers
- Bias and unequal performance
- Data used without rights or consent
- Obligations missed
- Oversight that cannot keep up

THE LOSS

Our AI fails or misfires and harms us or the people who depend on it

We botched it.

SOMEONE ACTS DELIBERATELY



3 · SUBVERSION

Prevent abuse of our AI

Can it be turned against us?

Someone deliberately pushes our AI past the bounds we set, and we did not prevent it.

WHAT IT LOOKS LIKE

- Inputs that hijack behavior
- Poisoned data, models, or memory
- Models and secrets extracted
- Compromised supply chain
- Agents turned against us
- Our data or insights carried into someone else's AI

THE LOSS

The outcomes of face 2 or face 4, reached through our own AI

They hijacked ours.



4 · ATTACK

Defend against their AI

Is theirs aimed at us?

Someone turns their AI on us, and we are not ready.

WHAT IT LOOKS LIKE

- Deepfake impersonation
- AI-enabled fraud and phishing
- Autonomous attack agents
- Frontier capability with the guardrails stripped

THE LOSS

Financial crime, service disruption, data exposure, with the speed, scale, and adaptability only AI makes possible

They attacked with theirs.

© 2026 Evan Wheeler · Four Faces of AI Risk™ · CC BY 4.0

THE DESIGN

Why four, and why these lines

The number was not chosen. It falls out of three structural questions, and each one changes what an analyst has to estimate.

1 **Whose AI it is**

The first line separates our AI from theirs. When the AI doing the damage belongs to someone else, we cannot fix it, test it, or switch it off, and the useful work is readiness. The safeguards that matter and the evidence for frequency both change, so it stands as its own face.

2 **Whether someone acted deliberately**

Within our own AI, the next line follows intent. Accidents and deliberate misuse come from different threat communities and happen at different rates. An audit committee will recognize this line, because auditors have separated error from fraud for decades. The test is deliberate action, not malice, so a curious user who jailbreaks our agent sits on the intent side.

3 **Whether the failure was in the choice or in the running**

Where no one acted against us, the last line separates decisions from operations. A model that fails in production and a bet that should never have been placed are both our own doing, but the first is estimated from defect and incident data, and the second as variance against a plan, at the pace of decision cycles.

We didn’t pick four. The causes did.

This is not a 2×2. Faces 1 and 2 share a cell and are split by a third question: was it the choice of bets, or how a chosen AI was built and run? The split between faces 1 and 2 is about what we did (chose the bet, or ran what we chose). The split between faces 3 and 4 is about whose AI someone else used (ours, or theirs).

Outcomes follow the lines

Outcomes do not draw the lines, but they follow them. The losses of face 1 (stranded spend, forgone value, competitive erosion, structural cost) appear in no other face. Faces 2, 3, and 4 can end in the same outcome, such as exposed data or stolen funds, and then differ in response costs, in insurance recovery, and in how regulators and the public treat negligence versus victimization.

What this might get wrong

Calling this a better way to sort AI risk is a bold claim, and other organizations may well have reached a similar framing on their own. Some limits are already known. Intent is not always known when a risk is scoped, and the right answer then is more than one scenario, not a guess. Face 1 is measured differently from the others, and most loss models do not cover it yet. The most useful feedback would be a real risk that could not be placed in exactly one face.

© 2026 Evan Wheeler · Four Faces of AI Risk™ · CC BY 4.0

THE DIFFERENCES MATTER

Three questions place any AI risk

Ask them in order. Each answer either places the risk or leads to the next question.

1 Whose AI?



Theirs, aimed at us → face 4.

2 Ours (our AI, or the data, models, and outputs it is built from or produces). Did someone deliberately push it past the bounds we set?



Yes → face 3.

3 No. Where did it go wrong?



In how AI we chose was built or run, causing an operational failure → face 2.



Where we chose to invest, how fast, and how much, causing a strategic shortfall → face 1.

Where one face ends and the next begins

1 / 2	**Was it the choice of bets, or how a chosen AI was built and run?**	Strategic shortfall (1) vs. operational failure (2). Decisions about whether, where, how fast, and how much are face 1. The performance of what was deployed is face 2. Place it by what went wrong, not when it became visible: a bet that was wrong when it was made is face 1, even when the loss first shows up in operations.
2 / 3	**Did someone deliberately push our AI past the bounds we set?**	Accident or carelessness (2) vs. intentional misuse (3). The test is deliberate action, not malice: a curious user who jailbreaks our agent is face 3.
3 / 4	**Whose AI is it?**	Ours (3) means our AI, adopted however sourced, and the data, models, and outputs it is built from or produces; theirs (4) means their AI, aimed at us.

© 2026 Evan Wheeler · Four Faces of AI Risk™ · CC BY 4.0

THE DIFFERENCES MATTER

One fear, six scenarios

One line on a risk register, “customer data exposed through AI”, holds six scenarios. Each has its own frequency, controls, and data.

SCENARIO	FACE	WHAT SETS IT APART
An employee pastes customer records into a public chatbot	**2 · Execution**	Careless use; frequency from usage telemetry and DLP data
A model memorizes training data and repeats it to the wrong user	**2 · Execution**	Model failure; frequency from testing and incident data
An attacker injects instructions that make our agent hand over data	**3 · Subversion**	Intentional misuse; frequency from attack attempts against exposed agents
A partner loads customer insights from our AI into their own AI and uses them past the terms we set	**3 · Subversion**	Intentional misuse of our asset (edge rule 11); frequency from the number of partners with access and how we enforce our terms
An attacker uses AI-written phishing to steal credentials and pull customer data	**4 · Attack**	Their AI aimed at us; frequency from threat intelligence
We ban AI on customer data out of unfounded fear, while competitors adopt it with sound controls	**1 · Strategy**	Strategic shortfall; the fear itself produces the loss

> **One register line becomes six scenarios across all four faces.**

Average these into one estimate and you get a number nobody can act on. It overstates the attacker for the team managing employee behavior, and understates it for the team defending the agent. The last scenario is the one that surprises people. Nothing failed and nobody attacked us, yet banning AI out of fear produced a loss of its own.

Why the differences matter for scoping

Each face implies a threat type, which drives frequency.

No one acts against us (1, 2), someone deliberately misuses our asset (3), someone attacks with their own tool (4). Blending them averages incompatible frequencies into one number nobody can defend.

Each face has a different control set.

Appetite and portfolio discipline (1), quality and variance management (2), prevention and detection (3), readiness and resilience (4).

Each face draws on different data.

Investment outcomes and market benchmarks, defect and incident rates, attack frequency against exposed AI, threat intelligence.

© 2026 Evan Wheeler · Four Faces of AI Risk™ · CC BY 4.0

THE DIFFERENCES MATTER

Built for measurement

The face sets the cause, and the cause sets what you estimate from. Scenarios in different faces draw their frequency from different evidence and land different kinds of loss, so each can be estimated, and challenged, on its own terms.

FACE	WHAT DRIVES FREQUENCY	WHAT SHAPES THE LOSS
1 Strategy	Decision cycles, launches, and supplier events such as repricing and deprecation, not recurring loss events	Variance against a plan or business case: stranded spend, forgone value, competitive erosion, structural cost
2 Execution	How much the AI is used and how often it errs, drifts, or is used carelessly; usage, defect, and incident data	Our own failure: operational, stakeholder, obligation, and information outcomes, and the cost of putting them right
3 Subversion	How often someone tries to push our AI past its bounds, and how often our safeguards stop them	Often the same outcomes as faces 2 and 4, with different response costs, insurance recovery, and secondary loss
4 Attack	Adversaries' activity and capability, largely outside our control; threat intelligence	Financial crime, disruption, and exposure with the speed, scale, and adaptability only AI makes possible

> **Each face tells you who or what has to act for the loss to happen, which is most of what drives frequency, before you have gathered a single data point.**

Why the lines fall where they do.

The 1/2 line separates decisions from operations, because face 1 is measured as variance against a plan, at the pace of decision cycles. The 2/3 line follows intent, because accidents and deliberate misuse come from different threat communities with different frequencies. The 3/4 line follows whose AI, because the safeguards that matter and the evidence for frequency both change when the AI doing the damage is theirs.

Same loss, different scenario

A hijacked payments agent (face 3) and a deepfake CFO (face 4) both end in theft of funds, with the same primary losses. Their cause, pathway, safeguards, and frequency driver all differ.

© 2026 Evan Wheeler · Four Faces of AI Risk™ · CC BY 4.0

THE FINANCE VIEW

Nobody asks for one number called "the risk of the manufacturing line."

Every CFO already governs each material asset with four separate disciplines. AI is one more asset that gets all four questions.

The faces are built to support risk assessments, but they also have to be easy for the business to pick up. The easiest way to explain them to executives is to borrow a structure they already use. Finance leaders govern every major asset through four separate conversations, even if they would not call it a risk taxonomy. Think about a large capital asset, such as a new manufacturing line.

THE CONVERSATION	THE QUESTION	THE FACE
Investment	Did we invest in the right asset, at the right time, at the right scale? That's capital allocation, and choosing not to invest is a decision too.	1 · STRATEGY **Innovate with AI**
Error	Is it performing the way we planned? When it isn't, nobody meant it to fail. That's operating error.	2 · EXECUTION **Build and run AI responsibly**
Misappropriation	Is someone using our asset for their own gain? Auditors have a word for that: misappropriation.	3 · SUBVERSION **Prevent abuse of our AI**
External threat	Are we ready for the shocks we can't prevent? That's an external threat, and we hedge, insure, and plan for continuity.	4 · ATTACK **Defend against their AI**

Each of those conversations has its own oversight, its own review cadence, and its own data. AI is one more asset that needs all four, and they line up with the four faces one to one. For everyday conversation, the shorthand is blunter still: we bet wrong, we botched it, they hijacked ours, or they attacked with theirs.

> **The 2/3 line is the one auditors have drawn for decades: error versus fraud, split by intent. Within fraud, misappropriation of assets is the category that matches face 3.**

© 2026 Evan Wheeler · Four Faces of AI Risk™ · CC BY 4.0

How to use it

In a workshop

Sort the fears in the room into faces before anyone starts naming risks.

Scoping a scenario

Ask the three questions first. The face sets the cause, and the cause drives frequency.

With executives

Lead with the finance view and the shorthand. Use the deck.

Where each face starts

1 · STRATEGY
Set the appetite. Name the bets, and the pace.

2 · EXECUTION
Build and run it against a named set of risks, at every stage of its life.

3 · SUBVERSION
Test how it could be abused. Guard it like any other critical asset.

4 · ATTACK
Build defenses for AI-enabled attacks and deepfakes. Test them before an attacker does.

What it is not

Not a catalog or a governance framework. It names four kinds of risk. It does not list risk factors or controls, and it does not tell you how to govern AI.

Not a measurement method. It helps you define scenarios well enough to measure. How you estimate frequency and loss is the job of your measurement method.

Not a prioritization. Faces are sorted into, not ranked. Four Faces alone does not tell you which risks to address first.

Not an org chart. Owners vary by organization. Assigning them is the next conversation.

Limitations

Intent is not always known when you scope. When it isn't, scope more than one face.

Face 1 is measured differently: as variance against a plan, at the pace of decision cycles.

Open for comment

This is the first public release, and it is expected to change as people test it against real risks. If you find a risk that does not fit one face, or a line that falls in the wrong place, open an issue on GitHub or raise it on LinkedIn.

Going further with the AI Risk Map

Four Faces works on its own. A risk-factor library widens each face's scope. The AI Risk Map is a companion library built to be used with it. It lists AI-specific causes, safeguard gaps, amplifiers, and outcomes, organized by who owns them. Where the AI Risk Map is available, name the face first, then use its factors to find what else could cause or worsen that scenario. Where it isn't, the rules here stand alone.

riskframework.org/ai-risk-map/

Get it, use it, cite it

The usage guide, the presentation deck, the graphics, and the structured data are free to use, share, and adapt, including commercially, with attribution.

riskframework.org/four-faces/ · github.com/wheels344i-gte/ai-four-faces

Wheeler, E. (2026). *Four Faces of AI Risk* v1.0. Licensed CC BY 4.0. Four Faces of AI Risk™ is a trademark of Evan Wheeler. © 2026 Evan Wheeler, licensed CC BY 4.0.